Company Overview

Borouge PLC is a leading petrochemical company that provides innovative and differentiated polyolefin solutions for the energy, infrastructure, mobility, advanced, packaging, healthcare and agriculture industries. The business was established in 1998, as a strategic partnership between the Abu Dhabi National Oil Company (ADNOC) and Borealis, one of the world's leading providers of advanced and sustainable polyolefin solutions.

Products Manufactured

Polyethylene (PE) Primary product
Polypropylene (PP) Primary product
Ethylene & Propylene
Polyolefin solutions & compounds

Sales by sector

Energy & infrastructure	- 40%
Advanced packaging	- 25%
Mobility (automotive)	- 15%
Healthcare & agriculture	- 12%
Other	- 8%

Key Financial Data

Ticker:	BOROUGE
Sector:	Manufacuting Petrochemicals & Polyolefins
Rating:	Overvalued
Market Cap (AEDb):	$ 20.71 B
Current Share Price (AED):	$ 2.55
Implied Price (AED):	$ 1.36
Revenue FY25:	$ 5.94 B
Net Profit FY25:	$ 1.85 B
Annual Dividends:	$ 1.19 B

Key Growth Drivers

Borouge 4 — 28% capacity addition

The Borouge 4 expansion adds 1.4 million tonnes of annual production capacity, bringing total capacity from 5.0M to 6.6M tonnes/year by 2026–2027. Construction is on track with Target Engineering and Linde as EPC contractors. This is the single largest organic growth event in the company's history.

Borealis merger — transformational scale

The merger with Borealis Group (announced March 2025) creates Borouge Group International — one of the world's top 3 polyolefin producers. Combined capacity of 13.6M tonnes/year with $500M in annual cost and commercial synergies. The merged entity targets $7B in group EBITDA, nearly 3x Borouge's standalone FY2024 EBITDA.

Financial Summary	Dec-24 A	Dec-25 E	Dec-26 E	Dec-27 E
Polyethylene	2,431	2,395	3,076	3,179
Polypropylene	3,548	3,495	4,488	4,638
Ethylene and others	47	47	60	62
Net Revenue	6,026	5,937	7,623	7,878
Sales Growth (YoY%)	*4.1%*	*-1.5%*	*28.4%*	*3.3%*
Sales Volume (ktpa)	5,335	5,208	6,600	6,733
Volume Growth (YoY%)	*4.3%*	*-2.4%*	*26.7%*	*2.0%*
EBITDA	2,440	2,524	3,106	3,333
Net Income	1,745	1,846	2,329	2,539
Net Income Growth (YoY%)	*29.2%*	*31.3%*	*30.8%*	*32.5%*
EPS (AED)	$ 0.04	$ 0.06	$ 0.08	$ 0.08
DPS (AED)	$ 0.04	$ 0.04	$ 0.06	$ 0.06

Risks

China Concentration - 63% of sales

China is by far the largest single market. A sustained slowdown in Chinese manufacturing, construction, or infrastructure spending directly reduces Borouge's volumes and forces price concessions to maintain market share. The 2023–2024 period already showed pressure from Chinese domestic overcapacity in polyolefins, with new domestic capacity from Sinopec and PetroChina continuing to come online through 2026.

High Payout Ratio

The $1.3B annual dividend exceeds FY2024 net profit of $1.74B — a payout ratio of 106%. This is sustainable short-term given strong free cash flow ($1.57B in FY2024) and ADNOC's balance sheet backing, but it means the dividend is funded partly from working capital and debt rather than purely from earnings. Any cyclical dip in profitability (lower polymer prices) creates dividend sustainability risk.

Low float - 10% public shareholding

Only 10% of shares are in free float (ADNOC 54%, Borealis 36%). This creates thin trading liquidity — large institutional positions are difficult to build or exit without moving the price. The low float also explains the relatively muted market response to strong earnings and the stock's underperformance vs the broader ADX market over the past 12 months.

Key Financial Ratio's	Dec-24 A	Dec-25 E	Dec-26 E	Dec-27 E
ROE (%)	*39.4%*	*36.3%*	*41.1%*	*39.7%*
ROCE (%)	*25.1%*	*26.8%*	*32.1%*	*35.3%*
Debt to Equity (x)	*0.66x*	*0.72x*	*0.65x*	*0.45x*
Fixed Asset Turnover (x)	*0.93x*	*0.97x*	*1.32x*	*1.45x*

Disclaimer: For educational purposes only. Not investment advice or a recommendation to buy/sell securities.